QUALICO®

BUILDING TO A HIGHER STANDARD

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Situational Analysis

Qualico’s decentralized structure has driven entrepreneurial success and local responsiveness, but as the company has grown, it’s created gaps in coordination, information sharing, talent visibility, and resource allocation across business units.

Problem Statement

How can Qualico improve coordination and collaboration without sacrificing the autonomy and entrepreneurial culture that drive its competitive advantage?

Problem Validation

01

No visibility into people

Leadership cannot see who is at capacity, which units have slack, or who is ready for succession.

02

Capital decided one-by-one

Every unit pitches head office on its own. There is no standard way to compare projects across regions.

03

Knowledge moves twice a year

StreetSide's twice-yearly forum is the only channel. Rates, labor, and code requirements shift far faster.

LIVE PRECEDENT

Qualico has already centralized parts of Qualico Properties because the decentralized model became unmanageable at its scale.

Three paths we considered before landing on ours.

Each addresses part of the coordination gap. Each also gives something up.

OPTION 1

Full centralization

Consolidate strategic decisions among a few senior execs at head office.

Wins visibility and capital control — costs autonomy and speed

OPTION 2

Status quo, scaled up

Extend StreetSide's biannual forum company-wide; more frequent VP meetings.

Preserves autonomy — doesn't scale; case shows it's already insufficient

OPTION 3

Shared corporate services

Centralize back-office functions only; leave data, capital, and talent visibility untouched.

Low disruption — leaves the two lead problems unsolved

Qualico's structure doesn't match its strategy.

Qualico's business units share one value chain. Theory calls for centralized integration. Qualico's structure says otherwise.

QUALICO TODAY

Decentralized & disconnected

Academic term, Competitive M-Form

- SBUs set strategy with no central integration
- SBUs compete internally for capital and resources
- Low coordination at corporate HQ
- Fits unrelated businesses, not Qualico's model

THEORY PRESCRIBES

Centralized info, local execution

Academic term, Cooperative M-Form

- Centralized decisions at corporate HQ
- SBUs cooperate instead of competing
- Matches Qualico's related diversification
- Shared standards replace duplicated effort

COST OF STAYING AS IS

- Duplicated capital pitches every cycle
- Unmanaged succession and talent risk
- StreetSide's forum hasn't scaled past one division

Connected Decentralization fits the right structure.

It shifts Qualico from competing internally to cooperating on shared standards.

CORPORATE CENTRALIZES
- Data + KPIs
- Capital Framework
- Talent Visibility
- Best Practices

→

BUSINESS UNITS
Decide and execute locally
Product, customers, ops, suppliers, market strategy

→

RESULT
- Faster decisions
- Better capital allocation
- Less duplication
- Continued entrepreneurship

WHERE THIS SITS ON THE COMPLEXITY CURVE

Simple → Functional → **M-Form, Qualico is here** → Matrix

FEASIBILITY SNAPSHOT

COST AND TIMELINE
Phased rollout using existing VP meetings

EXPECTED IMPACT
Faster capital decisions, shared talent view

ADOPTION RISK
Medium, only new reporting required

Comparing the three paths to what matters most

	Full Centralization	Status Quo, Scaled Up	Connected Decentralization
Visibility into talent	**High** – Corporate sees everything	**Low** – Informal and infrequent	**High** – Shared dashboard plus talent view
Standardized capital requests across units	**High** – Corporate controls all spend	**Low** – No standard comparison across units	**High** – Common scorecard, decentralized execution
Company wide knowledge sharing	**Centralized but slow** – Bottlenecked at HQ	**Limited** to StreetSide's forum – Doesn't scale	Systematic across all business units
Preserving entrepreneurial autonomy	**Low** – Strips local decision rights	**High** – No change to autonomy	**High** – Local units keep product, customer, and ops control
Overall fit	*Wins visibility, loses autonomy*	*Wins autonomy, loses coordination*	*Best balance across all four criteria*

Solution – Connected Decentralization.

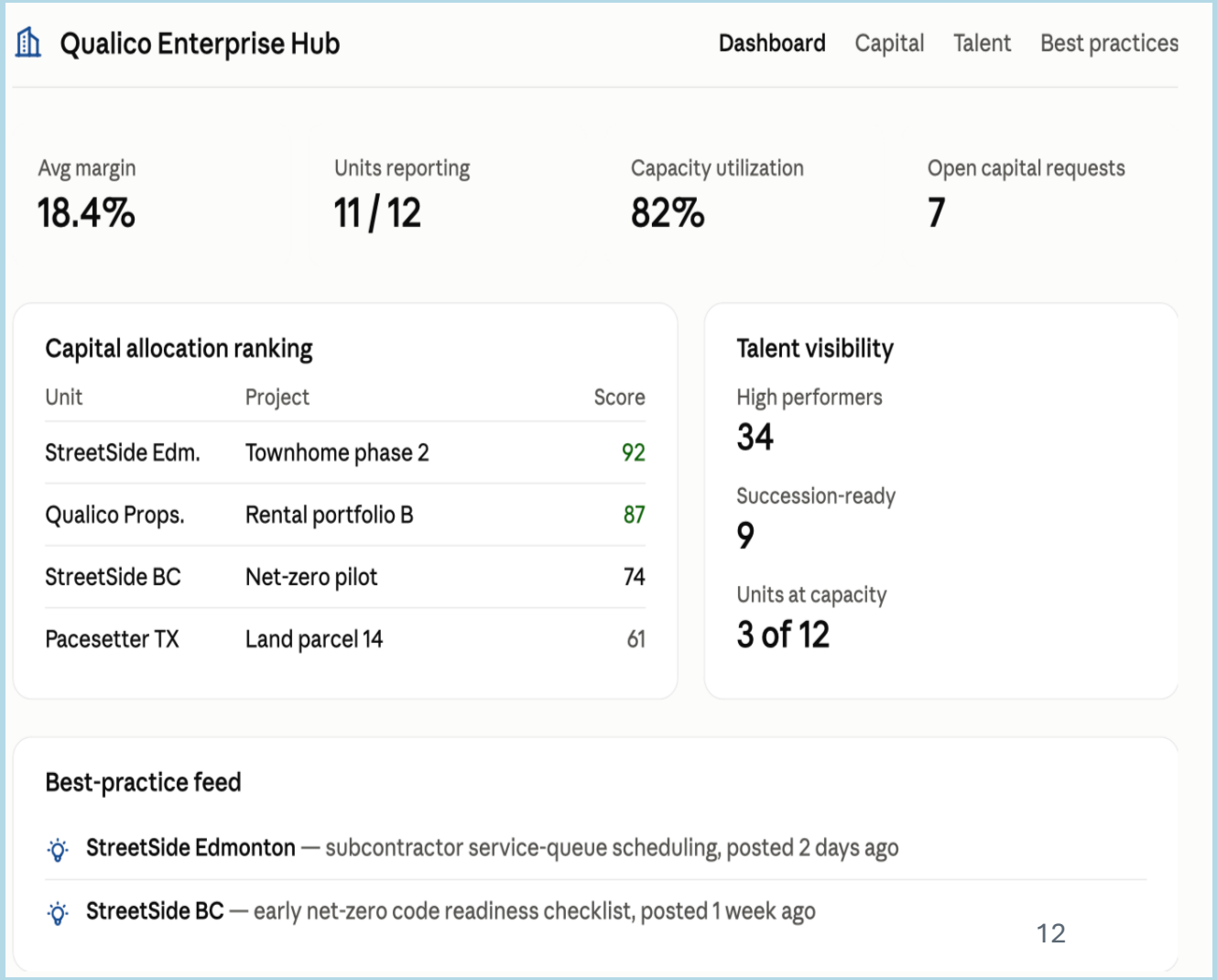
Centralize information, performance visibility, and resource allocation. Local business units keep control of product decisions, customers, local operations, suppliers, and market-specific strategy.

Faster decisions + better capital allocation + less duplication + continued entrepreneurship

- Directly addresses Qualico's problem: its decentralized model has driven innovation and local success, but has also resulted in coordination problems across the organization
- Company identity can continue to be adopted worldwide – core values, mission statement, vision, common goals, and strong culture, etc.

Qualico Enterprise Hub

Pillar	What is standardized?	Result
KPIs & Data	Costs, margins, timelines, capacity	Standard way to compare KPIs across units
Capital Allocation	Standard format, ranked across units	Units pitch for capital in an organized format, to see compare deployment across regions
Talent Register	Capacity, high performers, succession	Qualico can easily recognize star performers and those at full capacity
Best-Practice Hub	Continuous, not twice-a-year	Multiple opportunities for cross-unit sharing



Local Execution

Pillar	Reason For Keeping Local
Product and Design	Floor plans stay tailored to local buyer preferences — like StreetSide Edmonton's award-winning designs for young families
Pricing and Customer relationships	Local teams protect the customer-service quality that's central to Qualico's value proposition
Suppliers and Subcontractors	Units keep the scheduling efficiency that let Edmonton hit 500–600 homes/year with minimal downtime
Local Regulatory Response	Units can move early on local rule changes — e.g. StreetSide BC getting ahead of net-zero code before it hit
Hiring and Team Management	Preserves the autonomy that lets each unit build its own distinct culture and attract entrepreneurial talent
Land Acquisition and Site Feasibility	Decisions stay with the people who actually know regional land value and market conditions
Capital Execution	Speed — corporate ranks the opportunity, but the unit runs it without waiting on head-office sign-off for every step

Solution Feasibility

This does not require building a new corporate capability. Five building blocks are already in place.

Corporate structure

Head office, regional VPs, monthly management meetings.

Technology bench

An in-house Technology Services team of architects, administrators, developers and specialists, overseen by the COO.

Cross-unit habit

StreetSide units already meet to exchange best practices. The proposal formalizes and expands it.

Capital oversight

Units already pitch capital-intensive projects to head office.

Proof it works

Qualico Properties was centralized to pool resources and streamline decision-making.

This isn't something new. It's a model that fits how Qualico already works, and Qualico has already seen it succeed.

Solution Implementation



Phase 1 (0–6 mo): Initiate app development and send to region managers. The App showcases the shared KPI dashboard with StreetSide's existing biannual forum. This would be the lowest-friction entry point since the meeting cadence already exists



Phase 2 (6–12 mo): Roll out the standardized capital scorecard company-wide for the next budget cycle.



Phase 3 (12–18 mo): Build the talent-visibility layer (capacity, high performers, succession candidates)



Phase 4 (18–24 mo): Formalize the knowledge-sharing system across all business units, not just StreetSide; iterate using internal feedback loops

Qualico 2031: The Vision for the Future



De-centralized but more interconnected – Regional teams operate independently, high degree of entrepreneurial flexibility, everyone works with same information and strategic goals



One Enterprise Hub – Company-wide platform illustrating real-time visibility into resource needs, project timelines, financial performance, and costs



Most Successful Units = Competitive Advantage – When one business unit improves margins, knowledge becomes company wide



Automated Growth Strategy – Qualico confidently enters attractive markets and expands into existing operations when they see attractive capital and talent produce the best returns



Stronger Unified Network – Collaboration normalized as Employees see themselves as apart of one united Qualico network

Connected Decentralization: the autonomy Qualico built its success on, with the coordination it needs to keep growing.

Thank you — happy to take questions.